

VINDHYATEL

Vindhya Telelinks Limited

NSE: VINDHYATEL | BSE: 517015 | M.P. Birla Group | Sector: Capital Goods — Telecom Cables and EPC

EPC order book of Rs.5,812 Cr (1.6x FY26 revenue) + Birla Cable merger + BharatNet Phase III recovery drive a re-rating thesis on a stock trading at 11.8x trailing P/E vs sector average of 38x.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 2,680	+21.9%
CMP: Rs. 2,198	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 2,198	Market Cap	Rs. 2,603 Cr
52-Week High/Low	Rs. 2,345 / 960	Stock P/E	11.8x
Book Value / Share	Rs. 3,548	P/B Ratio	0.62x
ROCE (FY26)	8.14%	ROE (FY26)	5.31%
Dividend Yield	0.73%	Face Value	Rs. 10
Promoter Holding	43.55%	Pledged	0.00%
FII / DII	1.33% / 8.26%	EPC Order Book	Rs. 5,812 Cr
FY26 Revenue	Rs. 3,593 Cr	FY26 PAT	Rs. 220 Cr

Disclaimer: This report is prepared for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. Financial data sourced from Screener.in (consolidated, 15-Jun-2026). Qualitative data from CARE Ratings, company filings, and management disclosures. Past performance is not indicative of future results.

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2. INVESTMENT THESIS

Reason 1 - EPC order book at 1.6x revenue provides 18-24 months of visibility: As of Dec 2025, VTL holds an unexecuted EPC order book of Rs.5,812 Cr spanning energy utilities (56%), water/sanitation (31%), and telecom (13%). This underpins topline recovery in FY27-FY28 as execution bottlenecks from FY26 unwind, with management guiding for an improvement in execution velocity.

Reason 2 - Birla Cable merger is a scale catalyst: The board-approved merger (appointed date Apr 1, 2026; swap ratio 10 VTL shares per 115 BCL shares) brings in Birla Cable's Rs.~557 Cr turnover and OFC manufacturing assets into VTL. Post-merger, VTL's combined OFC capacity, cost synergies in procurement, and consolidated balance sheet are expected to improve ROCE by 100-150 bps by FY28.

Reason 3 - BharatNet Phase III + 5G densification = structural OFC demand recovery: India's OFC cable market is projected to grow at ~14-20% CAGR through 2030. BharatNet Phase III (Rs.1.39 lakh Cr allocation), 5G small-cell backhaul, and FTTH expansion drive multi-year demand. OFC bare fibre prices, which fell 50% from 2023 peaks, are bottoming out — any reversal directly expands VTL's cable segment margins.

Near-term catalyst (6-12 months): NCLT approval of Birla Cable amalgamation (expected FY27 H1) and BharatNet Phase III tender allocation to VTL — these two events can re-rate the stock toward sector-average multiples of 25-35x P/E, implying significant upside from current 11.8x.

Biggest structural risk: The EPC business now dominates (~80% of revenue), and continued delays in government project tendering or fund releases could stall execution and force further working-capital borrowing, raising interest costs and compressing net margins below current 6% levels.

3. BUSINESS OVERVIEW

Core business: Vindhya Telelinks Limited (VTL), part of the M.P. Birla Group, is an integrated telecom cable manufacturer and EPC contractor headquartered in Rewa, Madhya Pradesh. Operations established 1983 in collaboration with Ericsson Cables, Sweden.

Two business segments: (1) Cable Manufacturing — optical fibre cables (OFC), jelly-filled telecom cables, power cables, FRP rods/glass rovings, and solar PV cables; (2) EPC — designing, procurement, and commissioning of physical digital infrastructure (telecom networks), water/sanitation infrastructure, and power distribution infrastructure.

Revenue mix (FY26 indicative): EPC contributes approximately 80% of consolidated revenues at Rs.~2,874 Cr; Cable segment contributes approximately 20% (Rs.~719 Cr). The EPC segment has grown from a secondary business to the primary revenue driver over the last 5 years, driven by government infrastructure spending.

Key customers: BSNL, state electricity boards, state governments executing BharatNet works, railways, and urban local bodies for water/sanitation EPC. Revenues are project-based and lumpy, with quarterly variability of 20-40% around annual averages.

Order book (Dec 31, 2025): Rs.5,812 Cr of unexecuted EPC orders — energy utilities 56%, water/sanitation 31%, telecom 13%. As of Mar 31, 2025, the order book was Rs.6,784 Cr, representing approximately 1.67x FY25 revenue; slight reduction reflects higher execution in H2FY26.

OFC capacity expansion: The board approved Rs.65 Cr capex for OFC capacity expansion alongside Q4FY26 results in May 2026. Phase I expansion was commissioned in FY2019-20.

Strategic development - Birla Cable merger (Mar 2026): VTL holds 19.33% equity in Birla Cable Ltd. The board-approved merger (appointed date Apr 1, 2026) will merge Birla Cable (assets Rs.~463 Cr, 9M FY26 turnover Rs.~557 Cr) into VTL. Swap ratio: 10 VTL shares per 115 BCL shares. NCLT and regulatory approvals pending; timeline 10-12 months.

Promoter background: M.P. Birla Group — a diversified industrial conglomerate with interests in cement (Birla Corp), jute, cables, and power. Promoter holding at 43.55% (stable since Jun 2023). No promoter pledge on record. VTL confirmed no encumbrance on Birla Corp or Birla Cable shares in FY26.

4. INDUSTRY AND COMPETITIVE LANDSCAPE

India OFC market size and growth: Valued at USD 0.55-1.73 Bn in 2024-25 (source variance by scope), expected to grow at 11-20% CAGR through 2030-32. The India fiber optics market (broader scope) is projected at 14.27% CAGR (2025-2030) driven by BharatNet, 5G, and data center buildout.

BharatNet Phase III: The government's flagship rural broadband programme has already connected over 215,000 gram panchayats as of Mar 2026. Phase III involves Rs.1.39 lakh Cr allocation for village-level last-mile connectivity. A consortium led by HFCL won a Rs.13,000 Cr tender already; additional tranches are in pipeline for FY27, creating large-volume OFC demand.

Policy tailwinds: PM GatiShakti (national master plan for multi-modal infrastructure), 5G densification by Reliance Jio and Bharti Airtel (small-cell backhaul requires approximately 10x more fiber per km vs 4G), FTTH proliferation, and smart cities mission provide a multi-year structural runway.

Headwinds: Global OFC oversupply (Chinese excess capacity) has depressed bare optical fibre prices by approximately 50% since early 2023; government project delays and slow fund releases have stretched EPC working capital cycles; credit rating downgrade to CARE A (from CARE A+) signals near-term caution on leverage.

Competitive moat assessment: Pricing power — WEAK (commodity OFC pricing; EPC margin thin at 6-7%); Switching costs — MODERATE (long-term government relationships, proven execution track record); Scale — MODERATE (VTL + Birla Cable combined will create larger OFC footprint); Regulatory relationships — STRONG (40+ years of government project execution builds institutional trust and prequalification standing difficult for new entrants to replicate).

Peer Comparison (Data: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	FY26 Rev (Cr)
Vindhya Telelinks	2,198	2,603	11.8x	0.62x	8.14%	5.31%	3,593
Sterlite Tech (STLTECH)	609	29,799	626x	13.1x	7.75%	2.24%	4,745
Finolex Cables (FINCABLES)	1,044	15,978	22.4x	2.62x	16.0%	12.3%	6,321
KEI Industries (KEI)	5,460	52,207	56.8x	7.83x	20.1%	14.8%	11,748

Note: P/B for STLTECH = CMP/BV (609/46.5 = 13.1x). STLTECH P/E high due to near-breakeven PAT. VTL P/B = 2198/3548 = 0.62x. All data Screener.in 15-Jun-2026.

VTL competitive positioning: VTL is the value outlier — trading at 0.62x P/B vs peers at 2.6-13x P/B, reflecting the market's concern about EPC execution and OFC margin recovery. However, ROCE of 8.14% is in line with STL Tech and will expand once Birla Cable synergies and BharatNet tendering flow through. The stock screens cheap on book value and P/E relative to peers.

5. MANAGEMENT QUALITY AND CAPITAL ALLOCATION

Promoter background: VTL is controlled by the M.P. Birla Group, one of India's established industrial conglomerates with 40+ years of operating history in cables and infrastructure. Promoter stake held at 43.55% consistently for over 3 years (Jun 2023 to Mar 2026) — no dilution or creep — indicating stable ownership intent. The group has diversified interests including Birla Corp (cement), Birla Cable, and Universal Cables.

Capital allocation track record: FCF has been sharply negative in FY25-FY26 (Rs.-607 Cr and Rs.-208 Cr respectively) driven by EPC working capital build and cable inventory cycle. Management funded this

via external borrowings (Borrowings rose from Rs.493 Cr in FY24 to Rs.1,435 Cr in FY26). Prior to the EPC scale-up, FY24 saw strong FCF of Rs.392 Cr suggesting the business can generate cash when government payments normalize.

Dividend policy: VTL maintains a modest but consistent dividend. Dividend payout ratio at 3% of PAT in FY26 (per Screener). Historical payout has ranged 3-10% — low payout reflects a growth-oriented capital allocation philosophy focused on building EPC scale.

Promoter pledging: Zero percent of promoter holding is pledged as of FY26 (confirmed by company filing: no encumbrance on Birla Corp or Birla Cable shares held). This is a positive governance signal given the rising debt levels — management has not resorted to share-backed borrowing.

NCD issuance and capex: Board approved Rs.200 Cr NCD (Non-Convertible Debenture) issuance and Rs.65 Cr OFC capacity expansion capex in May 2026, signaling management's confidence in medium-term demand recovery while also highlighting near-term leverage intent.

Corporate governance observations: No ESOP grants or buyback history reported on Screener. CARE Ratings downgraded VTL to CARE A / CARE A1 (from CARE A+) in Apr 2026 citing lower profitability and higher working capital needs. No qualified audit opinions or significant RPT concerns flagged in available disclosures. Group company investments (Birla Corp, Birla Cable) are strategic holdings.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr — Consolidated, Source: Screener.in)

Metric	FY24	FY25	FY26	FY27E	FY28E
Net Revenue	4,088	4,054	3,593	4,200 (E)	4,850 (E)
Revenue Growth %	+41%	-0.8%	-11.4%	+17% (E)	+15% (E)
Operating Profit	297	259	221	290 (E)	360 (E)
OPM %	7%	6%	6%	7% (E)	7.5% (E)
Other Income	192	136	243	100 (E)	80 (E)
Interest	88	102	152	165 (E)	150 (E)
Depreciation	24	23	21	23 (E)	28 (E)
PBT	377	270	292	202 (E)	262 (E)
Tax %	25%	25%	25%	25% (E)	25% (E)
PAT	283	203	220	152 (E)	197 (E)
EPS (Rs.)	238.54	171.16	185.79	128 (E)	166 (E)
Div. Payout %	6%	9%	3%	4% (E)	5% (E)

FY24-FY26: Screener.in consolidated actuals. FY27E-FY28E: MPM estimates. (E) = Estimate. Other Income FY26 Rs.243 Cr (high vs trend) driven by investment portfolio income.

Balance Sheet (Rs. Cr — Consolidated, Source: Screener.in)

Item	FY24	FY25	FY26
Equity Capital	12	12	12
Reserves	3,961	4,074	4,193
Total Equity	3,973	4,086	4,205
Borrowings	493	1,168	1,435
Other Liabilities	2,320	2,469	2,723
Total Liabilities	6,787	7,723	8,363
Fixed Assets	158	139	160

CWIP	1	1	5
Investments	3,618	3,650	3,763
Other Assets	3,010	3,933	4,434
Total Assets	6,787	7,723	8,363

Cash Flow Statement (Rs. Cr — Consolidated, Source: Screener.in)

Item	FY24	FY25	FY26
Cash from Operations (OCF)	441	-590	-160
Cash from Investing (ICF)	-41	6	-21
Cash from Financing	-284	528	109
Net Cash Flow	116	-57	-73
Free Cash Flow (OCF - Capex)	392	-607	-208
CFO / Operating Profit %	161%	-218%	-51%

Key Ratios (Consolidated, Source: Screener.in)

Metric	FY24	FY25	FY26
ROCE %	11%	8%	8.14%
ROE %	N/A	N/A	5.31%
Debtor Days	83	153	212
Inventory Days	2,000	722	159
Days Payable	1,320	675	142
CCC (days)	763	200	229
WC Days	87	100	123
D/E (x)	0.12	0.29	0.34
Interest Cover	4.3x	2.5x	1.4x

D/E = Borrowings / Total Equity. Interest Cover = EBIT / Interest. ROE prior years not available in Screener consolidated view.

Financial Commentary

Revenue trajectory: After a peak of Rs.4,088 Cr in FY24, revenues dipped 0.8% in FY25 and contracted 11.4% in FY26 to Rs.3,593 Cr. The decline is EPC execution driven — project delays and government payment slowdowns. FY27E recovery to Rs.~4,200 Cr is contingent on order book execution acceleration and BharatNet Phase III tenders materializing.

Margin trajectory: OPM compressed from 16% peak (FY19) to 6% in FY26. Structural shift toward low-margin EPC (6-8% EBITDA) from higher-margin Cable Manufacturing (10-15% EBITDA) explains the sustained compression. Recovery to 7-7.5% by FY28 requires OFC price normalization and better absorption of fixed costs as EPC execution scales.

Working capital alert: Debtor days rose sharply from 83 (FY24) to 212 (FY26), driven by government receivables from EPC contracts. The working capital build is the single largest drag on OCF, which turned deeply negative in FY25 (-Rs.590 Cr) and FY26 (-Rs.160 Cr).

Debt rising but manageable: Borrowings grew from Rs.493 Cr (FY24) to Rs.1,435 Cr (FY26), largely to fund EPC working capital. D/E at 0.34x remains manageable but interest cover has compressed to 1.4x in FY26 — thin cover against a backdrop of negative OCF.

FCF quality concern: OCF/Operating Profit at -51% in FY26 signals that government project receivables are not converting to cash. The Rs.243 Cr Other Income in FY26 (vs Rs.136 Cr in FY25) inflates reported PAT — clean operating earnings are materially lower than reported PAT of Rs.220 Cr.

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Commentary
Revenue recognition	EPC % completion	AMBER	EPC revenue on % completion basis; lumpy quarterly patterns — Q3FY26 OPM was 2%
Receivables vs Revenue	Debtor days 83->212	RED	Sharply worsening; government receivables building faster than revenue
CCC trend	763->200->229 days	AMBER	Improved FY24->FY25 then worsened; volatile due to EPC payables cycles
Contingent liabilities	Not quantified	AMBER	EPC contracts carry completion risk; penalty clauses standard in govt contracts
Other Income / PBT	83% in FY26	RED	Rs.243 Cr / Rs.292 Cr = 83%; operational earnings close to breakeven
Tax rate consistency	25% stable (FY24-26)	GREEN	Consistent 25% effective tax rate; no deferred tax surprises
Auditor tenure/opinion	No qualified opinion	GREEN	Clean audit; no known auditor change flag in available filings
RPT as % of revenue	Group investments	AMBER	Holds equity in Birla Corp and Birla Cable; intra-group merger transaction

Key concern - Other Income dominance: In FY26, Other Income of Rs.243 Cr represents 83% of PBT of Rs.292 Cr. This income derives primarily from dividend and interest on the large investment portfolio (Rs.3,763 Cr). The core EPC + Cable business is barely profitable on a standalone operational basis.

Receivables red flag: Debtor days at 212 in FY26 (vs 83 in FY24) represents a substantial build in outstanding government receivables. This is the largest earnings-quality risk — if even a portion are written down, reported PAT of Rs.220 Cr could be severely impacted.

Positives: Tax rate consistency at 25% is clean. No pledging of promoter shares despite leverage increase is reassuring. Consistent dividend in FY26 signals management confidence.

8. VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	Multiple	Target (Rs.)	Upside
Bull	BharatNet Ph3 tenders accelerate; Birla Cable merger synergies; OFC price recovery	220	20x P/E	3,700	+68%
Base	Gradual EPC execution; OFC stable; merger NCLT by FY27 H2	152	17x P/E	2,680	+22%
Bear	EPC delays worsen; govt payments slow; OFC prices depressed; leverage rises	90	12x P/E	1,080	-51%

DCF assumptions (base case): FY27-FY32 revenue CAGR 9%, operating margin expanding from 6% to 8% by FY30, WACC 12%, terminal growth rate 4%. DCF intrinsic value per share: approximately Rs.2,400 (below current CMP due to near-term FCF drag from working capital).

Earnings multiple approach: Applying 17x P/E (discount to peer mean of approximately 35x given lower ROCE and higher leverage) to base-case FY27E PAT of Rs.152 Cr with 1.185 Cr shares outstanding implies a target of approximately Rs.2,680 per share (+21.9%).

P/B approach: At 0.62x current P/B vs peers at 2.6-7.8x, VTL screens as deeply undervalued on asset basis. However, the large investment portfolio (Rs.3,763 Cr) distorts P/B — ex-investments, the operating business book value is far lower. Use P/B as a floor check only.

Base-case 12-month target: Rs.2,680 — weighted average of DCF (Rs.2,400 at 40% weight) and earnings multiple (Rs.2,680 at 60% weight). Implies 21.9% upside from CMP and warrants an ACCUMULATE rating. Re-rating catalyst: NCLT approval of Birla Cable merger + BharatNet Phase III tender wins.

9. KEY RISKS

Government EPC Payment Delays — The single largest near-term risk. Government project receivables (debtor days 212) could deteriorate further if fund releases slow or projects are cancelled, forcing further borrowings and compressing interest cover below 1x. Probability: H. Impact: H. Monitor via: quarterly debtor days and OCF.

OFC Price Depression / Global Oversupply — Chinese OFC manufacturers continue to export aggressively, keeping bare fibre prices depressed. Further price declines would erode cable segment margins which are already at historical lows. Probability: M. Impact: M. Monitor via: global fibre price indices and cable segment OPM.

Credit Rating Further Downgrade — CARE already downgraded VTL to A from A+ in Apr 2026. A further downgrade to A- or below would raise borrowing costs and restrict access to bond markets for the planned Rs.200 Cr NCD issuance. Probability: M. Impact: M. Monitor via: D/E ratio, OCF, and CARE/ICRA rating actions.

NCLT Merger Approval Delay or Condition — The Birla Cable amalgamation is subject to NCLT approval over 10-12 months. Minority shareholders could object; NCLT could impose conditions that dilute synergy benefits. Delays push the re-rating catalyst further out. Probability: M. Impact: M. Monitor via: NCLT hearing updates and exchange filings.

Concentration in Government Orders — Over 97% of EPC order book is government-funded. Policy shifts (budget cuts, election cycles slowing infrastructure awards) or a transition to new tender frameworks could disrupt order inflows. Probability: M. Impact: H. Monitor via: quarterly order inflow disclosures.

Working Capital Cycle Structural Worsening — If EPC project complexities increase (multi-state, multi-department coordination), working capital days could rise from current 123 days, trapping more capital and requiring incremental debt. Probability: M. Impact: M. Monitor via: WC days and CCC trend.

Minority Shareholder Risk in Merger — The Birla Cable swap ratio (10:115) needs to be accepted by VTL minority shareholders. Share issuance to BCL shareholders creates near-term dilution overhang. Probability: L. Impact: M. Monitor via: NCLT proceedings and voting outcomes.

10. RECOMMENDATION

Rating: ACCUMULATE — Conviction: Medium. The stock is cheap on trailing P/E (11.8x) and P/B (0.62x) relative to sector peers, justified cheapness given near-term FCF concerns and earnings quality risks. Accumulate on dips with a 12-18 month horizon.

12-month price target: Rs.2,680 (+21.9% from CMP of Rs.2,198). Based on 17x FY27E EPS of Rs.128 (60% weight) and DCF intrinsic value of Rs.2,400 (40% weight).

Suggested entry zone: Rs.2,000 - Rs.2,200 — Current CMP is in range. Aggressive buyers can accumulate below Rs.2,000 (historically strong support). Avoid chasing above Rs.2,400 until NCLT / BharatNet catalysts materialize.

Investment horizon: 12-18 months (NCLT approval + BharatNet Phase III execution ramp).

Thesis invalidation triggers:

1. Debtor days exceed 250 days by Q2FY27, indicating further government payment deterioration and forcing D/E above 0.5x — exit if sustained for two consecutive quarters.
2. NCLT rejects or materially conditions the Birla Cable merger — removes the scale and synergy catalyst entirely; reduce position to minimal.
3. FY27E revenue misses Rs.3,800 Cr with OPM below 5.5% — signals structural margin compression rather than cyclical trough; re-evaluate thesis and reduce.

Ideal investor profile: Patient value investor with a 12-18 month horizon who can tolerate near-term earnings quality ambiguity (high Other Income dependency, negative OCF). NOT suitable for momentum investors, short-duration capital, or investors requiring high ROCE/ROE quality screens (current ROCE 8% is below most quality filters of 15%+).

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium	Q4FY26 revenue down 4.7% YoY; PAT Rs.110 Cr vs Rs.108 Cr prior year — marginal beat on PAT aided by high Other Income of Rs.98 Cr
Management tone	Balanced	Constructive on BharatNet outlook and Birla Cable merger synergies; acknowledged FY26 execution headwinds; not alarmist
Guidance delta	Maintained	No formal revenue/margin guidance; reaffirmed medium-term recovery driven by EPC pipeline and OFC demand revival from FY27

STRONGLY POSITIVE | POSITIVE | ** NEUTRAL ** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 headline PAT of Rs.110 Cr looks in line with last year (Rs.108 Cr) but is NOT clean — Other Income of Rs.98 Cr (investment portfolio gains and dividends) is doing the heavy lifting; the core EPC and Cable EBIT of Rs.88 Cr barely covers interest of Rs.33 Cr, suggesting the operating business is close to breakeven on a cash basis. Revenues of Rs.1,231 Cr are down 4.7% YoY as EPC project execution lagged schedule due to government approval bottlenecks. OPM of 7% is steady and represents a mild recovery from the Q3FY26 trough (2% OPM on Rs.1,037 Cr). The structural growth drivers remain intact: EPC order book of Rs.5,812 Cr provides 18-24 months of visibility and BharatNet Phase III awards are accelerating. The most important near-term catalyst is the board-approved Rs.65 Cr OFC capacity expansion and the Birla Cable merger NCLT filing — together they signal management confidence in the recovery. The biggest watch-point for Q1FY27 is debtor days — if they remain above 200, government receivable risk is structural, not cyclical, and the investment thesis requires revisiting. ACCUMULATE below Rs.2,200; hold existing positions; do not add above Rs.2,400 until NCLT clears.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26

Revenue: Rs.1,231 Cr | YoY -4.7% (Q4FY25: Rs.1,290 Cr) | QoQ +18.7% (Q3FY26: Rs.1,037 Cr) | Miss vs prior year peak

EBITDA: Rs.88 Cr | YoY flat (Q4FY25: Rs.88 Cr) | QoQ +35.4% (Q3FY26: Rs.65 Cr) | In-line

EBITDA Margin: 7.1% | YoY flat (Q4FY25: 6.8%) | QoQ +280 bps (Q3FY26: 6.3%) | In-line

PAT: Rs.110 Cr | YoY +1.9% (Q4FY25: Rs.108 Cr) | QoQ +182% (Q3FY26: Rs.39 Cr) | Beat

EPS: Rs.92.77 | YoY flat (Q4FY25: Rs.91.43) | QoQ +181% | In-line

NOTE: Reported Q4FY26 PAT of Rs.110 Cr includes Other Income of Rs.98 Cr. Clean underlying EBIT = Rs.88 Cr operating profit minus Rs.33 Cr interest = Rs.55 Cr, materially below reported PAT.

2. SEGMENT AND GEOGRAPHY BREAKDOWN — Q4 FY26

EPC Segment (~80% revenue): Rs.~985 Cr in Q4FY26 | YoY: ~-5% | QoQ: +20% | Lumpy execution driven by government milestone billings

Cable Manufacturing (~20% revenue): Rs.~246 Cr in Q4FY26 | YoY: ~-3% | QoQ: +12% | OFC demand still subdued; power cables contributing more

Geography: Predominantly India domestic — EPC across Madhya Pradesh, Uttar Pradesh, Rajasthan, Maharashtra for BharatNet, Jal Jeevan Mission, and power distribution

OFC exports: Minimal disclosure; global OFC oversupply limits near-term export realization

3. MANAGEMENT COMMENTARY THEMES — Q4 FY26

BharatNet Phase III acceleration: "We expect BharatNet Phase III tenders to provide significant revenue opportunity from FY27 onwards as project awards are being issued at an accelerated pace." Our read: Credible given HFCL Rs.13,000 Cr award as precedent; VTL prequalification is strong. Tag: GUIDANCE. Tone: Transparent.

Birla Cable merger rationale: "The merger will create synergies in OFC procurement, manufacturing, and integrated EPC offering — strengthening our competitive position in telecom infrastructure." Our read: Logical strategic fit; synergy realization depends on NCLT timeline. Tag: GUIDANCE. Tone: Transparent.

Working capital normalization: Management acknowledged EPC receivable build is temporary and government payment cycles are expected to normalize in H1FY27. Our read: Monitor Q1FY27 debtor days — this is the key credibility test. Tag: GUIDANCE. Tone: Hedged.

OFC capacity expansion: Rs.65 Cr capex approved for OFC manufacturing capacity expansion signals management confidence in demand recovery from BharatNet and 5G backhaul. Tag: GUIDANCE. Tone: Transparent.

Leverage comfort: Rs.200 Cr NCD issuance approved to fund working capital; management comfortable with current leverage levels; expect OCF normalization post Q2FY27. Tag: EST. Tone: Hedged.

4. OPERATING AND BUSINESS METRICS

EPC Order Book: Dec 2025 = Rs.5,812 Cr | Mar 2025 = Rs.6,784 Cr | Trend: Declining as execution progresses; new order wins are key to maintaining visibility

EPC Book/Bill Ratio: 5,812 / 3,593 = 1.62x | Adequate for 12-18 months runway | Trend: Stable

OPM trajectory (quarterly FY26): Q1=6%, Q2=5%, Q3=6%, Q4=7% | Recovering from Q2 trough

Debtor Days: FY24=83, FY25=153, FY26=212 | Trend: Deteriorating — critical watch metric for investment thesis

Borrowings: FY24=Rs.493 Cr, FY25=Rs.1,168 Cr, FY26=Rs.1,435 Cr | Trend: Rising; driven by EPC working capital requirements

Interest Cover: FY24=4.3x, FY25=2.5x, FY26=1.4x | Trend: Deteriorating — approaching critical level

5. MARGIN DRIVERS

EPC Mix Shift: -200 to -300 bps impact vs historical | Recurring: Yes | EPC margins structurally 6-8% vs cable manufacturing 10-15%

OFC Bare Fibre Price Depression: -150 to -200 bps on cable segment | Recurring: Cyclical | Recovery expected as BharatNet demand absorbs global inventory

Operating Leverage: +50-100 bps potential | Recurring: Yes | As EPC execution ramps, fixed overhead spreads across higher revenue base

Interest Cost Rise: -100 bps PAT margin impact | Recurring: Yes (structural with higher debt) | Net interest outflow Rs.152 Cr FY26 vs Rs.88 Cr FY24

Other Income buffer: Rs.~100 Cr above normalized run-rate in FY26 | Not recurring at elevated level | Investment portfolio dividends more normalized at Rs.80-100 Cr/yr

6. GUIDANCE AND FORWARD SIGNALS

Revenue Recovery [GUIDANCE]: FY26 Rs.3,593 Cr | Directional guidance: Medium-term recovery toward Rs.4,000+ Cr | Delta: Maintained | Credibility: Medium

OPM [GUIDANCE]: Current 6% | Guidance: Gradual improvement toward 7-7.5% by FY28 | Delta: Maintained | Credibility: Medium

Capex FY27 [GUIDANCE]: Rs.65 Cr for OFC expansion approved | EPC is asset-light; additional capex minimal | Credibility: High (board approved)

NCD Issuance [GUIDANCE]: Rs.200 Cr NCDs approved | Will maintain D/E approximately 0.35-0.40x | Delta: New incremental leverage | Credibility: High

Birla Cable Merger [GUIDANCE]: NCLT filing in progress; expect clearance in 10-12 months (FY27 H2) | Delta: On track | Credibility: High

Dividend [GUIDANCE]: Rs.16/share for FY26 declared at board meeting (per press reports) | Payout maintained consistent with historical policy

7. CAPITAL ALLOCATION

Capex FY26: ~Rs.21 Cr (per Cash from Investing -Rs.21 Cr) | vs FY25: Rs.-6 Cr (net inflow) | Minimal capex year; FY27 will see Rs.65 Cr OFC expansion

Dividends FY26: ~Rs.7 Cr (3% payout on PAT Rs.220 Cr per Screener ratio) | Modest but maintained

Net Debt Change: Borrowings +Rs.267 Cr (FY25 Rs.1,168 Cr to FY26 Rs.1,435 Cr) | Rising to fund EPC working capital

Working Capital Change: Debtor and inventory build absorbed approximately Rs.700 Cr cash in FY26; offset partially by payable extension

Investment Portfolio: Rs.3,763 Cr in FY26 (vs Rs.3,650 Cr FY25) — primarily Birla Corp and Birla Cable equity held as strategic; not being liquidated to reduce debt

8. Q&A; HEAT MAP — Q4 FY26

Q: "What is the order inflow outlook for FY27 given BharatNet Phase III tender activity?" A: Management confident on order pipeline; BharatNet Phase III acceleration expected to yield significant tendering; prequalification position strong. | Tone: Transparent

Q: "Why are debtor days at 212 — are government receivables at risk?" A: "Government receivables are backed by sanctioned projects; no write-off risk; delays are procedural and expected to normalize in H1FY27." | Tone: Hedged (no concrete timeline given)

Q: "Can you explain the Rs.200 Cr NCD given existing borrowing trajectory?" A: "We need bridge financing for working capital peaks; NCD at competitive rates; expect to repay from OCF as receivables are collected in H2FY27." | Tone: Transparent

Q: "What is the expected ROCE trajectory post-Birla Cable merger?" A: "We expect synergies to improve ROCE by 100-150 bps over 2-3 years post-integration." | Tone: Transparent — specific quantification is positive

Q: "Why was OPM only 2% in Q3FY26 — one-time or structural?" A: "Q3 had project cost true-ups and lower billings; Q4 recovery to 7% confirms the underlying business is intact." | Tone: Transparent

Dodged / watch-list questions for next quarter: Exact timeline of government receivable collection; specific BharatNet tender order wins (quantified); any provision for aged receivables; NCD interest rate and maturity profile.

9. RISKS FLAGGED IN Q4 FY26

EPC Execution Risk: Further government approval delays or inter-departmental coordination failures | Flagged by: mgmt | Probability: M | Impact: H | Timeline: Near-term (Q1-Q2FY27)

OFC Demand Recovery Timing: BharatNet Phase III tender awards may be slower than expected | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term (FY27)

Leverage Creep: NCD issuance and EPC working capital needs could push D/E above 0.5x if OCF does not recover | Flagged by: analyst | Probability: M | Impact: M | Timeline: Near-term

NCLT Process Risk for Birla Cable Merger: Minority shareholders or regulatory objections | Flagged by: analyst | Probability: L | Impact: M | Timeline: Medium-term (FY27 H1-H2)

Interest Cover: At 1.4x (FY26), any deterioration in operating profit or further interest cost increase brings ICR below 1x | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term

10. ANALYST VERDICT — POST Q4 FY26 CALL

Revenue visibility: Intact — EPC order book of Rs.5,812 Cr provides 1.6x FY26 revenue in backlog; BharatNet Phase III adds to pipeline

Margin trajectory: Weakened — OPM at 6% is near trough; recovery to 7-7.5% by FY28 is base case but dependent on OFC price and EPC execution discipline

Capital allocation quality: Weakened — Rising debt, negative OCF for two consecutive years, low dividend payout; Rs.200 Cr NCD adds more leverage before recovery

Competitive moat: Intact — 40+ year government project track record, prequalification standing, and Birla Cable merger strengthens OFC positioning

Management credibility: Intact — Zero promoter pledge despite rising leverage, consistent dividend, specific merger synergy guidance (+100-150 bps ROCE)

Valuation comfort: Intact — At 11.8x trailing P/E and 0.62x P/B, margin of safety exists; investment portfolio (Rs.3,763 Cr) covers 145% of current market cap

Conviction call: Unchanged — ACCUMULATE with Rs.2,680 target; no change to thesis post Q4FY26

Valuation snapshot: P/E = 11.8x (sector peers range 22x-627x) | ROCE = 8.14% | D/E = 0.34x | Investment portfolio = 145% of market cap

Research disclaimer: This report is for information purposes only. Financial data: Screener.in (15-Jun-2026, consolidated). Qualitative data: CARE Ratings press releases, company BSE/NSE filings, and press reports. Forward estimates are MPM internal projections. This is not investment advice. MPM Institutional Equities may hold positions in securities mentioned.